

Scarce but Secure Resources

Division leaders in large, established organizations are adept at using politics to enlarge their budgets but know that those budgets are somewhat loose. They often acquire as large a budget as possible and prepare to defend it against incursions from other departments. Politics means that they sometimes win and sometimes lose: if a crisis emerges elsewhere in the organization, their budget might suddenly be reduced by 10 percent. This is not a catastrophe; teams will have to work harder and do more with less. Most likely, the budget has some padding in anticipation of this kind of eventuality.

Startups are different: too much budget is as harmful as too little—as countless dot-com failures can attest—and startups are extremely sensitive to midcourse budgetary changes. It is extremely rare for a stand-alone startup company to lose 10 percent of its cash on hand suddenly. In a large number of cases, this would be a fatal blow, as independent startups are run with little margin for error. Thus, startups are both easier and more demanding to run than traditional divisions: they require much less capital overall, but that capital must be absolutely secure from tampering.

Independent Development Authority

Startup teams need complete autonomy to develop and market new products within their limited mandate. They have to be able to conceive and execute experiments without having to gain an excessive number of approvals.

I strongly recommend that startup teams be completely cross-functional, that is, have full-time representation from every functional department in the company that will be involved in the creation or launch of their early products. They have to be able to build and ship actual functioning products and services, not just prototypes. Handoffs and approvals slow down the Build-Measure-